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THE AI SQUEEZE: HOW L2D2 DATA CENTER CONSTRUCTION WILL DISRUPT BAYLOR AND DOWNTOWN WACO

When 2,000 Out-of-State Construction Workers Arrive: What the L2D2 Data Center Will Do to Waco

Byline

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Waco has spent the last decade building something carefully.

Downtown revitalization. Magnolia is drawing millions every year. Baylor is recruiting families from across the country. Hotel occupancy tax revenue is climbing, hitting \$8.6 million in 2023. Hotels here run among the highest occupancy rates in Texas.

Momentum like that doesn't happen by accident.

Now looming over it all: the Lacy Lakeview Data District (L2D2), a colossal 1.2 GW hyperscale AI data center project set to drop like a bomb right in the center of Waco's revitalization story.

01

THE NUMBERS THAT ACTUALLY MATTER

InfraKey projects 1,800 to 2,000 construction workers during Phase 1. It will likely be closer to 4,000 workers moving through the site. That's for 18 months. But Phase 1 is not the full project. L2D2 is planned as a 900+ megawatt campus, built in phases, infrastructure first. That means utilities, cooling systems, grid work, site prep. Then buildings. Then expansion.

InfraKey's own information projects 30,000 plus jobs. The vast majority of which WILL be temporary and indirect positions through construction.

Comparable projects tell a clearer story.

In Abilene, the Stargate AI data center deployed thousands of construction workers across phases within the first 18 months. Workforce numbers reported in the thousands. The permanent employment number being discussed is around 57 jobs once operational.

In Prineville, Oregon, data center construction began in 2010 and expansions are still happening. One facility averaged roughly 200–300 construction workers daily and took about 15 months. Then another building. Then another. Construction didn't end, it cycled.

In Umatilla County, Oregon, Amazon has built dozens of data center facilities since 2010. Construction waves continue alongside operational employment. Expansion is ongoing, and over 30,000 workers have visited those locations.

In Ellendale, North Dakota, over 6,000 workers have been badged over the course of the project, and it's only in Phase 2 of 5. That number does not include infrastructure crews long before the first visible structure goes vertical.

The pattern is consistent.

Infrastructure heavy data centers are not quick in and out projects. They build in waves. And they bring large, non-local workforces to do it.

It is reasonable to expect 2,000 or more workers in the region continuously for multiple years, not just one 18-month window.

That matters.

02

HOTELS, HOUSING, AND THE MATH NO ONE WANTS TO DO

Waco has roughly 4,000 hotel rooms across the metro. Occupancy runs between the mid-60s and low-80s percent depending on season. Baylor events fill rooms fast. Magnolia weekends fill rooms fast. Graduation? Football? You already know.

Now add 2,000 to 2,500 construction workers booking weekly and monthly stays.

The numbers don't work.

Tourist families won't find rooms. Baylor parents scheduling campus visits will get pushed out. Event attendees for downtown redevelopment milestones will start looking at Austin or Dallas instead.

There are no large hotel clusters in Ross or West. That means workers will stay closer to Waco. Lacy Lakeview. Bellmead. North Waco. Downtown.

Rates go up. Availability goes down. It doesn't take long.

03

WE'VE SEEN THIS BEFORE

This isn't theory.

Pecos, Texas during the oil boom saw housing shortages so severe that RV parks tripled capacity and still had daily calls from workers who couldn't find a place to stay. Local officials openly said housing was either extremely expensive or simply not available.

Williston, North Dakota experienced sharp increases in crime reports, drug trafficking, and strain on law enforcement during peak boom years. 911 calls rose dramatically. Prostitution returned after decades absent. Law enforcement agencies publicly testified they were overwhelmed.

Midland rents surged during peak Permian Basin years, briefly rivaling prices in NY and LA metro markets. Housing shortages ran into the thousands of units. Infrastructure struggled to keep up.

None of those communities planned to become cautionary tales. It just happened faster than they could handle.

And none of those outcomes were about oil specifically. They were about rapid influx of transient construction labor into towns that weren't built for it.

04

THE WORKFORCE PROFILE DOESN'T CHANGE

Whether it's oil or AI servers, the construction side works the same way.

Large national contractors mobilize non-local skilled labor. Electricians, plumbers, project managers, concrete crews. They work long shifts. Often around the clock. Speed to completion is everything.

Workers need housing. They need food. They need somewhere to unwind. Most are not moving their families here for three years. They are temporary.

Rapid growth like that strains policing, roads, emergency services, and rental markets. Not because construction workers are bad people. Because scale matters. Numbers matter.

If 2,000 people move into a community in a short window, and most of them are temporary, that changes things. Fast.

05

DOWNTOWN AT THE WRONG TIME

Downtown Waco's first phase of revitalization is underway. Public money committed. Private investment lining up. The goal is clear: build a walkable, mixed-use district that strengthens tourism and keeps young professionals in town.

Now imagine that launching at the same time 2,000 construction workers are competing for hotel rooms and rental inventory.

Parking tight. Hotels full of contractor trucks. Room rates spiking. Visitors frustrated. That reputation sticks. It spreads.

Momentum is fragile. Especially when a city is trying to grow its brand.

06

THE BAYLOR FACTOR

Baylor graduates already leave Waco at high rates. The city has been working hard to change that. Make downtown vibrant. Create places young professionals actually want to live.

Construction disruption from 2026 through 2028 overlaps perfectly with Baylor recruitment cycles and the early years of downtown activation.

Prospective families remember their first visit. If it's chaotic, crowded, expensive, and hard to navigate, that leaves a mark. Young grads weighing Austin versus Waco will notice quality of life shifts. They always do.

And once they leave, they don't always come back.

THE SOCIAL COST: CRIME, DRUGS, AND POLICING

In Williston, police calls climbed to 16,495 criminal incidents in a single year during peak boom years. That's not commentary. That's dispatch data. Drug seizures increased sharply. Heroin. Meth. Cocaine. Prostitution operated openly, both in bars and online. The White House Office of National Drug Control Policy flagged oil field booms as emerging trafficking threats at the time.

Pecos saw similar patterns. Sudden drug availability. Organized vice networks following workforce waves. Theft from job sites climbing fast enough that it became routine. In Midland, law enforcement had to stand up specialized oil field theft units just to keep up.

None of that appeared out of thin air. When thousands of temporary workers with cash move into a small community quickly, and most have no long-term ties to the place, organized crime notices. It doesn't take years. It takes months.

Waco's police department would feel that pressure immediately. More calls. More overtime. More equipment. More training. More strain on a force already covering a growing city. And when construction ends, the criminal networks that establish themselves don't always pack up and leave.

Traffic follows the same arc.

Williston documented assault and battery rising sharply during peak years. Pecos reported traffic accident calls jumping from 524 annually to 922 in just the first seven months of boom expansion. That kind of increase isn't random. It comes from long shifts, fatigue, heavy trucks on roads not designed for them, and late nights mixing alcohol with transient populations.

Downtown Waco would feel that directly. More DUI stops near bars. More accidents along I-35 corridors feeding Lacy Lakeview and Bellmead. More emergency vehicles. More visible policing.

Perception matters in a city trying to build a reputation around walkability, tourism, and quality of life. When police lights are constant and traffic is clogged with contractor trucks, the feeling changes. It doesn't feel like thoughtful growth.

Here in Waco, we know exactly what it feels like to carry a national reputation you didn't ask for and never wanted; one that grew out of a tragedy no community should ever have to bear. It took decades of steady, hopeful work to move beyond that shadow and show the world who we really are. Because of our past, it will be easy for people to believe the worst about a city with a reputation like ours. Whispers of rising crime and negative experiences will send would-be visitors and students alike running before they ever truly see us. Becoming known as another boom-and-bust town would undo more than progress. It would undo trust. And that possibility breaks my heart, because I love this city with everything in me. We cannot afford to watch what we've built slip away again.

08

PERMANENT JOBS VS. PERMANENT DISRUPTION

Data centers are capital intensive. They employ relatively small long-term staffs compared to their construction workforce. Some facilities operate with a few dozen full-time technical employees once complete.

That means thousands of temporary construction jobs, followed by a small permanent operations team.

The disruption happens immediately. The long-term benefit is narrower.

That doesn't mean there are no benefits. It means the tradeoff deserves honest discussion.

09

THE REAL QUESTION

This isn't about whether Waco should grow. It already is.

The question is whether Waco wants to interrupt a tourism-anchored, downtown-focused growth strategy with a multi-year construction surge that competes directly with hotel capacity, rental housing, and public services.

Growth can strengthen a community. It can also overwhelm it.

The overlap here is the problem. The timing. The scale.

Waco has spent years building something steady. Thoughtful. Intentional.

The community deserves to ask whether this project fits that path or knocks it sideways.

That's not fear talking. That's pattern recognition.

And small towns in Texas have learned the hard way that once a boom starts, you don't control the pace anymore.

Sean Terrell is a resident of Elm Mott and organizer of the community opposition to the L2D2 data center project. The petition opposing the project can be found at wacodatacenter.com.

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SOURCES

L2D2 Projections: L2D2.org presentation; Infracore Global materials on worker timelines and construction phases

Waco Tourism Data: City of Waco Convention & Visitors Bureau; hotel occupancy tax reporting; Magnolia Market attendance figures

Downtown Revitalization: Hunt Development Group master plan; Waco City Council Strategic Roadmap (June 2024)

Pecos Oil Boom: Santa Fe New Mexican reporting (2018); Pecos Police Department traffic data; economic development data

Williston Oil Boom: NPR, CNN, Washington Post, ABC News, and federal law enforcement reporting (2011-2015); FBI Williston office establishment; US Attorney Tim Purdon case documentation; North Dakota Bureau of Criminal Investigation

Midland Permian Basin: CNN Business, Pulitzer Center, Texas Standard, The Hill reporting (2019-2023); housing data; Sheriff Mark Griffis interviews

Data Center Construction Impacts:

01 **Abilene, TX Stargate project:** 6,000-6,400 construction workers by late 2025; Phase 2 under construction; target completion mid-2026; permanent employment estimate ~57 jobs (Bloomberg, CNBC, Energy Now reporting Sept 2025)

- 02 **Prineville, OR:** Facebook/Apple facilities; 243 workers/day average; 15-month construction timeline per facility; six total facilities; construction ongoing from 2010-2021+
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- 03 **Umatilla, OR:** Amazon AWS; 31 data centers built since 2010; 3,200 current workers and contractors; expansion planned through 2027
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- 04 **Ellendale, ND:** Approximately 7,000 total badged workers across full construction sequence; McGough Construction badging reached 4,000+ before Phase 2 groundbreaking
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- 05 **General data center construction:** Brookings Institution labor analysis; NCRC workforce housing study; Construction Dive reporting on labor compliance challenges; DataCenterKnowledge reporting
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MORE FROM THE RECORD

Spotted an error? [Send a correction](#). Corrections are noted at the end of the piece with the date.